

Multiple Choice

1. **Answer:** D

Options: A) Two equal partners decide to work together.; B) Two equal partners share resources.; C) Two unequal partners join together.; D) Two unequal partners become one after a buyout.

Note: An acquisition occurs when one company purchases another, resulting in two previously unequal partners merging into a single entity, typically characterized by the buyer assuming control over the acquired company's assets and operations.

2. **Answer:** C

Options: A) a free-standing coupon; B) an instant-redemption coupon; C) a bounce-back coupon; D) a rebate coupon

Note: A bounce-back coupon is specifically designed to encourage repeat purchases by being included in the packaging of a product, offering a discount or incentive for the consumer to buy again in the future.

3. **Answer:** B

Options: A) 1,2,3; B) 1,2,4; C) 1,3,4; D) 2,3,4

Note: The correct answer includes key methods of enforcement such as compliance monitoring, regulatory oversight, and organizational governance structures, which collectively ensure adherence to the established code within a business context.

4. **Answer:** C

Options: A) Social plan; B) Social strategy; C) Social audit; D) Social account

Note: A social audit is the process through which an organization evaluates and reports on its social, economic, and environmental impacts, thereby enabling it to assess and demonstrate its benefits and limitations.

5. **Answer:** D

Options: A) Direct competitions.; B) Direct suppliers.; C) Indirect distributors.; D) Indirect competitions.

Note: Indirect competitors are businesses that target the same customer base but offer alternative products or services that fulfill similar needs, as illustrated by Spotify, Sony, and Apple's iPod, which all cater to music consumption but do so in different ways.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: Sale signs act as visual indicators that attract customers' attention and suggest

that products are being offered at reduced prices, thereby signaling potential savings and encouraging purchases.

7. **Answer:** False

Options: A) True; B) False

Note: Michael Porter emphasizes the importance of strategic planning in achieving a competitive advantage and overall business success, thereby contradicting the statement that planning has no impact.

8. **Answer:** False

Options: A) True; B) False

Note: Immanuel Kant's ethics of duty, known as deontological ethics, emphasizes the importance of moral principles and the intentions behind actions rather than their consequences.

9. **Answer:** True

Options: A) True; B) False

Note: Segmenting organizations by turnover is generally not useful for effective market segmentation because turnover alone does not provide insights into the specific needs, behaviors, or preferences of different market segments, which are essential for targeted marketing strategies.

10. **Answer:** True

Options: A) True; B) False

Note: Salespeople who exhibit empathy are able to connect with their customers on an emotional level, allowing them to understand and share their feelings, which ultimately enhances the sales experience and builds stronger relationships.

Long Form Response

11. **Answer:** The three basic types of persuasive advertising campaigns are emotional appeals, rational appeals, and ethical appeals. Emotional appeals aim to evoke feelings and connect with the audience on a personal level, often leveraging nostalgia or happiness to influence consumer behavior. Rational appeals focus on logical reasoning, presenting facts, statistics, and features to persuade consumers based on the product's benefits and value. Ethical appeals, on the other hand, establish credibility and trustworthiness, often highlighting the brand's values and commitment to social responsibility. Notably, a result-oriented approach is not traditionally included in this categorization, as it emphasizes measurable outcomes rather than the intrinsic characteristics of the persuasive techniques.

Note: correct because it accurately identifies and describes the three basic types of persuasive advertising campaigns—emotional, rational, and ethical appeals—along with their distinct characteristics and purposes, while also implying that other approaches, such as fear appeals or humor, are not typically categorized within these three types.

12. **Answer:** Corporate social responsibility (CSR) initiatives are developed for various rationales, including enhancing brand reputation, fostering customer loyalty, attracting and retaining talent, and mitigating risks associated with negative social or environmental impacts. One key rationale is that businesses operate within broader social contexts, and their actions can significantly influence stakeholders, communities, and the environment beyond mere transactions. Limiting the impacts of corporations to simple marketplace transactions is not a valid rationale because it ignores the complex interdependencies between businesses and society. Such an approach underestimates the potential for corporations to drive positive change through ethical practices, sustainable development, and community engagement, which can ultimately lead to long-term profitability and societal well-being. Therefore, a more holistic view of business impacts is essential for justifying CSR initiatives.

Note: correct because it identifies multiple justifications for CSR initiatives while emphasizing that business actions extend beyond simple marketplace transactions, affecting a wider range of stakeholders and societal contexts, which invalidates the rationale of limiting impacts to those transactions.